Practice Quiz: Digital Transformation — Module 04: Cognition

Name: ___ *Date*: ___

Part A: Multiple Choice

1. **AI governance** must address: A) Only technology B) Accountability, transparency, fairness, and oversight for all automated decisions C) Only legal compliance D) Only ethics
2. The **COMPAS** case demonstrates: A) AI success B) That algorithmic decisions can embed and amplify societal biases, requiring rigorous fairness testing C) AI is unbiased D) Technology is neutral
3. **Explainability** is critical because: A) Regulators want it B) Stakeholders affected by algorithmic decisions need to understand and contest them, and designers need to audit them C) It's simple D) All models are explainable
4. Algorithmic decisions redistribute power because: A) Algorithms are powerful B) They shift decision authority from human experts to system designers and data, changing who controls outcomes C) They cost money D) They are faster
5. The **accountability gap** occurs when: A) Budgets are tight B) No one can fully explain why an algorithm produced a specific output, making it difficult to assign responsibility C) Teams are too small D) Algorithms are transparent
6. **Human override** of AI decisions should be: A) Forbidden B) Available for consequential decisions, with clear protocols and post-hoc review C) Always used D) Never needed
7. Regulated industries require stricter AI governance because: A) They're conservative B) Their decisions have direct, significant impact on people's lives and rights C) They have more budget D) Regulators are strict

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Part B: Short Analysis

1. Your organization plans to deploy an AI hiring screener. Design a complete AI governance framework including: what decisions are automated, transparency requirements, fairness testing, human oversight, and appeal process.
2. An algorithm used for credit scoring is found to be 15% more accurate than human underwriters but produces outcomes that disadvantage certain demographic groups. Analyze the trade-off and propose a solution.
3. Your organization has 12 different AI models making various decisions. Design an "algorithmic audit" schedule and methodology that regularly reviews them for accuracy, fairness, and alignment with organizational values.